# BARCLAYS BANK OF KENYA LIMITED FINANCIAL STATEMENTS

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the unaudited group results for the period ended 30 June 2015

| | | Bank | | | | Group | | | |
|---|---|---|---|---|---|---|---|---|---|
| | | June 2014 Shs '000 Unaudited | December 2014 Shs '000 Audited | March 2015 Shs '000 Unaudited | June 2015 Shs '000 Unaudited | June 2014 Shs '000 Unaudited | December 2014 Shs '000 Audited | March 2015 Shs '000 Unaudited | June 2015 Shs '000 Unaudited |
| I | STATEMENT OF FINANCIAL POSITION | | | | | | | | |
| A | ASSETS | | | | | | | | |
| 1 | Cash balances (both local and foreign) | 6,387,349 | 6,956,130 | 5,278,919 | 5,735,934 | 6,387,349 | 6,956,130 | 5,278,919 | 5,735,934 |
| 2 | Balances due from Central Bank of Kenya | 11,645,289 | 17,611,517 | 12,778,829 | 13,014,339 | 11,645,289 | 17,611,517 | 12,778,829 | 13,014,339 |
| 3 | Kenya Government and other securities held for dealing purposes | 2,118,358 | 6,133,921 | 5,812,388 | 7,103,405 | 2,118,358 | 6,133,921 | 5,812,388 | 7,103,405 |
| 4 | Financial Assets at fair value through profit and loss | 1,134,033 | - | - | - | 1,134,033 | - | - | - |
| 5.a) | Investment Securities: | - | - | - | - | - | - | - | - |
| | Held to Maturity: | - | - | - | - | - | - | - | - |
| | a. Kenya Government securities | - | - | - | - | - | - | - | - |
| | b. Other securities | - | - | - | - | - | - | - | - |
| b) | Available for sale: | 45,466,977 | 51,032,847 | 57,781,335 | 56,729,365 | 45,466,977 | 51,032,847 | 57,781,335 | 56,729,365 |
| | a. Kenya Government securities | 45,466,977 | 51,032,847 | 57,208,148 | 56,156,177 | 45,466,977 | 51,032,847 | 57,208,148 | 56,156,177 |
| | b. Other securities | - | - | 573,187 | 573,188 | - | - | 573,187 | 573,188 |
| 6 | Deposits and balances due from local banking Institutions | - | 1,000,000 | 1,050,000 | 1,200,000 | - | 1,000,000 | 1,050,000 | 1,200,000 |
| 7 | Deposits and balances due from banking Institutions abroad | 360,066 | 206,504 | 292,473 | 185,628 | 360,066 | 206,504 | 292,473 | 185,628 |
| 8 | Tax recoverable | 1,135,579 | 398,852 | - | - | 1,135,579 | 398,852 | - | - |
| 9 | Loans and advances to customers(net) | 128,446,955 | 125,423,371 | 125,295,377 | 133,554,804 | 128,446,955 | 125,423,371 | 125,295,377 | 133,554,804 |
| 10 | Balances due from banking institutions in the group | 5,682,803 | 4,754,595 | 10,770,493 | 3,592,201 | 5,682,803 | 4,754,595 | 10,770,493 | 3,592,201 |
| 11 | Investment in Associates | - | - | - | - | - | - | - | - |
| 12 | Investment in Subsidiary Companies | 275,678 | 275,678 | 275,678 | 275,678 | - | - | - | - |
| 13 | Investment in Joint Ventures | - | - | - | - | - | - | - | - |
| 14 | Investment properties | - | - | - | - | - | - | - | - |
| 15 | Property and equipment | 2,836,570 | 2,846,034 | 2,965,936 | 3,092,942 | 2,836,570 | 2,846,034 | 2,965,936 | 3,092,942 |
| 16 | Prepaid Operating Rental Leases | 57,684 | 57,584 | 57,584 | 57,584 | 57,684 | 57,584 | 57,584 | 57,584 |
| 17 | Intangible assets | 2,610,184 | 2,490,927 | 2,361,378 | 2,222,581 | 2,610,184 | 2,490,927 | 2,361,378 | 2,222,581 |
| 18 | Deferred Tax Asset | - | 253,844 | 255,594 | 192,603 | - | 253,844 | 255,594 | 192,603 |
| 19 | Retirement Benefit Asset | - | 88,747 | 162,945 | 207,418 | - | 88,747 | 162,945 | 207,418 |
| 20 | Other assets | 5,282,150 | 6,587,573 | 6,041,735 | 7,535,389 | 5,285,141 | 6,590,562 | 6,044,727 | 7,538,380 |
| 21 | TOTAL ASSET | 213,439,675 | 226,118,124 | 231,180,665 | 234,699,871 | 213,166,988 | 225,845,435 | 230,907,978 | 234,427,184 |
| B | LIABILITIES | | | | | | | | |
| 22 | Balances due to Central Bank | - | 520 | 4,265 | - | - | 520 | 4,265 | - |
| 23 | Customers' deposits | 148,177,401 | 164,778,726 | 156,054,176 | 163,473,719 | 148,177,399 | 164,778,724 | 156,054,174 | 163,473,717 |
| 24 | Deposits and balances due to Banking institutions (Local) | 7,241,140 | - | - | 4,891,000 | 7,241,140 | - | - | 4,891,000 |
| 25 | Deposits and balances due to Banking institutions (Foreign) | 94,807 | 121,129 | 123,037 | 162,808 | 94,807 | 121,129 | 123,037 | 162,808 |
| 26 | Other money market deposits | - | - | - | - | - | - | - | - |
| 27 | Borrowed funds | - | - | - | - | - | - | - | - |
| 28 | Balances due to banking institutions in the group | 13,125,066 | 13,290,936 | 25,443,676 | 19,531,238 | 12,852,381 | 13,290,936 | 25,443,676 | 19,531,238 |
| 29 | Tax payable | - | - | 591,846 | 218,709 | - | - | 591,846 | 218,709 |
| 30 | Dividends payable | - | - | - | 1,086,307 | - | - | - | 1,086,307 |
| 31 | Deferred tax liability | 205,637 | - | - | - | 205,637 | - | - | - |
| 32 | Retirement Benefit Liability | 37,385 | - | - | - | 37,385 | - | - | - |
| 33 | Other liabilities | 10,611,123 | 9,740,722 | 8,698,243 | 9,098,221 | 10,611,123 | 9,468,035 | 8,425,558 | 8,825,536 |
| 34 | TOTAL LIABILITIES | 179,492,559 | 187,932,033 | 190,915,243 | 198,462,002 | 179,219,871 | 187,659,344 | 190,642,556 | 198,189,315 |
| C | SHAREHOLDERS' FUNDS | | | | | | | | |
| 35 | Paid up / Assigned capital | 2,715,768 | 2,715,768 | 2,715,768 | 2,715,768 | 2,715,768 | 2,715,768 | 2,715,768 | 2,715,768 |
| 36 | Share premium / (discount) | - | - | - | - | - | - | - | - |
| 37 | Revaluation reserves | (342,075) | (307,798) | (344,024) | (290,367) | (342,075) | (307,798) | (344,024) | (290,367) |
| 38 | Retained earnings / (Accumulated losses) | 31,184,102 | 29,914,996 | 32,154,179 | 33,371,747 | 31,184,103 | 29,914,996 | 32,154,179 | 33,371,747 |
| 39 | Statutory loan loss reserve | 389,321 | 431,589 | 307,963 | 440,721 | 389,321 | 431,589 | 307,963 | 440,721 |
| 40 | Other reserves | - | - | - | - | - | - | - | - |
| 41 | Proposed dividend | - | 5,431,536 | 5,431,536 | - | - | 5,431,536 | 5,431,536 | - |
| 42 | Capital Grants | - | - | - | - | - | - | - | - |
| 43 | TOTAL SHAREHOLDERS' FUND | 33,947,116 | 38,186,091 | 40,265,422 | 36,237,869 | 33,947,116 | 38,186,091 | 40,265,422 | 36,237,869 |
| 44 | TOTAL LIABILITIES AND SHAREHOLDERS' FUND | 213,439,675 | 226,118,124 | 231,180,665 | 234,699,871 | 213,166,988 | 225,845,435 | 230,907,978 | 234,427,184 |
| II | STATEMENT OF COMPREHENSIVE INCOME | | | | | | | | |
| 1 | INTEREST INCOME | | | | | | | | |
| 1.1 | Loans and advances to customers | 7,918,183 | 16,707,198 | 4,466,761 | 8,848,247 | 7,918,183 | 16,707,198 | 4,466,761 | 8,848,247 |
| 1.2 | Government securities | 2,347,558 | 4,586,553 | 1,374,510 | 2,825,664 | 2,347,558 | 4,586,553 | 1,374,510 | 2,825,664 |
| 1.3 | Deposits and placements with banking institutions | 56,885 | 211,486 | 51,805 | 68,547 | 56,885 | 211,486 | 51,805 | 68,547 |
| 1.4 | Other interest income | 774,801 | 1,435,807 | 240,843 | 423,907 | 774,801 | 1,435,807 | 240,843 | 423,907 |
| 1.5 | Total interest income | 11,097,427 | 22,941,044 | 6,133,919 | 12,166,365 | 11,097,427 | 22,941,044 | 6,133,919 | 12,166,365 |
| 2 | INTEREST EXPENSES | | | | | | | | |
| 2.1 | Customer deposits | 1,182,328 | 2,912,416 | 905,076 | 1,878,009 | 1,182,328 | 2,912,416 | 905,076 | 1,878,009 |
| 2.2 | Deposits and placements with banking institutions | 67,930 | 134,852 | 47,622 | 162,436 | 67,930 | 134,852 | 47,622 | 162,436 |
| 2.3 | Other interest expenses | 156,850 | 290,162 | 37,600 | 85,763 | 156,850 | 290,162 | 37,600 | 85,763 |
| 2.4 | Total interest expenses | 1,407,108 | 3,337,430 | 990,298 | 2,126,208 | 1,407,108 | 3,337,430 | 990,298 | 2,126,208 |
| 3 | NET INTEREST INCOME | 9,690,319 | 19,603,614 | 5,143,621 | 10,040,157 | 9,690,319 | 19,603,614 | 5,143,621 | 10,040,157 |
| 4 | NON - OPERATING INCOME | | | | | | | | |
| 4.1 | Fees and commissions income on loans & advances | 792,358 | 1,537,123 | 388,586 | 768,568 | 792,358 | 1,537,123 | 388,586 | 768,568 |
| 4.2 | Other fees and commissions | 2,407,628 | 4,827,151 | 1,202,673 | 2,394,162 | 2,407,628 | 4,827,151 | 1,202,673 | 2,394,162 |
| 4.3 | Foreign exchange trading income | 1,054,765 | 2,042,437 | 398,938 | 876,982 | 1,054,765 | 2,042,437 | 398,938 | 876,982 |
| 4.4 | Dividend income | - | - | - | - | - | - | - | - |
| 4.5 | Other income | 5,490 | 278,163 | 236,395 | 742,299 | 5,490 | 278,163 | 236,395 | 742,299 |
| 4.6 | Total non-interest income | 4,260,241 | 8,684,874 | 2,226,592 | 4,782,011 | 4,260,242 | 8,684,874 | 2,226,592 | 4,782,011 |
| 5 | Total operating income | 13,950,560 | 28,288,488 | 7,370,213 | 14,822,168 | 13,950,561 | 28,288,488 | 7,370,213 | 14,822,168 |
| 6 | OPERATING EXPENSES | | | | | | | | |
| 6.1 | Loan loss provision | 720,031 | 1,404,959 | 351,025 | 585,975 | 720,031 | 1,404,959 | 351,025 | 585,975 |
| 6.2 | Staff costs | 3,909,648 | 8,100,426 | 2,299,554 | 4,529,345 | 3,909,648 | 8,100,426 | 2,299,554 | 4,529,345 |
| 6.3 | Directors emoluments | 6,035 | 25,003 | 6,250 | 11,683 | 6,035 | 25,003 | 6,250 | 11,683 |
| 6.4 | Rental charge | 532,033 | 1,102,655 | 275,306 | 564,056 | 532,033 | 1,102,655 | 275,306 | 564,056 |
| 6.5 | Depreciation on property and equipment | 260,099 | 486,912 | 124,703 | 247,454 | 260,099 | 486,912 | 124,703 | 247,454 |
| 6.6 | Amortisation charges | 292,260 | 583,068 | 139,182 | 279,417 | 292,260 | 583,068 | 139,182 | 279,417 |
| 6.7 | Other operating expenses | 2,118,616 | 4,291,941 | 1,053,566 | 2,168,924 | 2,118,616 | 4,291,941 | 1,053,566 | 2,168,924 |
| 7 | Total operating expenses | 7,838,722 | 15,994,964 | 4,249,586 | 8,386,854 | 7,838,722 | 15,994,964 | 4,249,586 | 8,386,854 |
| | Profit before tax and exceptional items | 6,111,838 | 12,293,524 | 3,120,627 | 6,435,314 | 6,111,838 | 12,293,524 | 3,120,627 | 6,435,314 |
| 8 | Exceptional items | - | - | - | - | - | - | - | - |
| 9 | Profit after exceptional items | 6,111,838 | 12,293,524 | 3,120,627 | 6,435,314 | 6,111,838 | 12,293,524 | 3,120,627 | 6,435,314 |
| 10 | Current tax | (1,852,218) | (4,354,831) | (1,533,397) | (1,828,753) | (1,852,218) | (4,354,831) | (1,533,397) | (1,828,753) |
| 11 | Deferred tax | (26,326) | 448,653 | 528,327 | (54,369) | (26,326) | 448,653 | 528,327 | (54,369) |
| 12 | Profit after tax and exceptional items | 4,233,294 | 8,387,346 | 2,115,556 | 4,552,192 | 4,233,294 | 8,387,346 | 2,115,556 | 4,552,192 |
| 13 | OTHER COMPREHENSIVE INCOME | | | | | | | | |
| 13.1 | Gains/(Losses) from translating the financial statements of foreign operations | - | - | - | - | - | - | - | - |
| 13.2 | Fair value changes in available for sale financial assets | 83,862 | 132,829 | (51,751) | 24,901 | 83,862 | 132,829 | (51,751) | 24,901 |
| 13.3 | Revaluation surplus on property, plant and equipment | - | - | - | - | | - | - | - |
| 13.4 | Share of other comprehensive income of associates | - | - | - | - | | - | - | - |
| 13.5 | Income tax relating to components of other comprehensive income | (25,159) | (39,849) | 15,525 | (7,470) | (25,159) | (39,849) | 15,525 | (7,470) |
| 14 | Other comprehensive income for the year net of tax | 58,703 | 92,980 | (36,226) | 17,431 | 58,704 | 92,980 | (36,226) | 17,431 |
| 15 | Total comprehensive income for the year | 4,291,997 | 8,480,326 | 2,079,330 | 4,569,623 | 4,291,998 | 8,480,326 | 2,079,330 | 4,569,623 |
| | Earnings per Share (Shs) | 0.78 | 1.54 | 0.39 | 0.84 | 0.78 | 1.54 | 0.39 | 0.84 |
| | Dividends per share (Shs) | - | 1.00 | - | 0.20 | - | 1.00 | - | 0.20 |

| | III OTHER DISCLOSURES | June 2014 Shs '000 Unaudited | December 2014 Shs '000 Audited | March 2015 Shs '000 Unaudited | June 2015 Shs '000 Unaudited |
|---|---|---|---|---|---|
| 1) | Non-performing loans and advances | | | | |
| a) | Gross non-performing loans and advances | 5,730,567 | 6,136,924 | 6,049,388 | 5,946,804 |
| b) | Less: Interest in suspense | 1,457,446 | 1,582,498 | 1,641,990 | 1,260,260 |
| c) | Total non performing loans and advances | 4,273,121 | 4,554,426 | 4,407,398 | 4,686,544 |
| d) | less: loan loss provisions | 2,493,220 | 2,109,563 | 2,757,730 | 2,571,245 |
| e) | Net non performing loans(c-d) | 1,779,901 | 2,444,863 | 1,649,668 | 2,115,299 |
| f) | Discounted value of securities | 1,181,682 | 1,041,711 | 844,797 | 816,433 |
| g) | Net NPLs (Excess) / Exposure (e-f) | 598,219 | 1,403,152 | 804,871 | 1,298,860 |
| 2) | Insider loans and advances | | | | |
| a) | Directors ,shareholders and associates | 46,740 | 47,050 | 46,815 | 44,808 |
| b) | Employees | 9,408,383 | 10,109,247 | 10,829,372 | 12,172,207 |
| c) | Total insider loans and advances | 9,455,123 | 10,156,297 | 10,876,188 | 12,217,015 |
| 3) | Off Balance sheet items | | | | |
| a) | Letters of credit ,guarantees, acceptances | 30,900,501 | 33,531,550 | 31,859,449 | 31,457,556 |
| b) | Forwards, swaps and options | 3,719,228 | 11,474,737 | 11,917,310 | 12,282,764 |
| c) | Other contingent liabilities | 4,276,800 | 3,177,300 | 3,191,450 | 3,193,350 |
| | Total Contingent liabilities | 38,896,529 | 48,183,587 | 46,968,209 | 46,933,670 |
| 4) | Capital Strength | | | | |
| a) | Core capital | 31,783,223 | 32,623,910 | 33,812,271 | 33,811,525 |
| b) | Minimum statutory capital | 1,000,000 | 1,000,000 | 1,000,000 | 1,000,000 |
| c) | Excess / (Deficiency) | 30,783,223 | 31,623,910 | 32,812,271 | 32,811,525 |
| d) | Supplementary capital | 789,650 | 431,589 | 4,929,486 | 5,398,752 |
| e) | Total capital | 32,572,873 | 33,055,499 | 38,741,757 | 39,210,277 |
| f) | **Total risk weighted assets** | **207,377,672** | **207,154,473** | **215,807,748** | **212,199,291** |
| g) | Core capital / total deposit liabilities | 21.4% | 19.8% | 21.7% | 20.7% |
| h) | Minimum statutory ratio | 8.0% | 8.0% | 8.0% | 8.0% |
| i) | Excess / (Deficiency) | 13.4% | 11.8% | 13.7% | 12.7% |
| j) | Core capital / total risk weighted assets | 15.3% | 15.7% | 15.7% | 15.9% |
| k) | Minimum statutory ratio | 10.5% | 10.5% | 10.5% | 10.5% |
| l) | Excess / (Deficiency) | 4.8% | 5.2% | 5.2% | 5.4% |
| m) | Total capital / total risk weighted assets | 15.7% | 16.0% | 18.0% | 18.5% |
| n) | Minimum statutory ratio | 14.5% | 14.5% | 14.5% | 14.5% |
| o) | Excess / (Deficiency) | 1.2% | 1.5% | 3.5% | 4.0% |
| 5 | Liquidity | | | | |
| a) | Liquidity ratio | 34.0% | 44.2% | 45.4% | 41.1% |
| b) | Minimum statutory ratio | 20.0% | 20.0% | 20.0% | 20.0% |
| c) | Excess / (Deficiency) | 14.0% | 24.2% | 25.4% | 21.1% |

**MESSAGE FROM THE DIRECTORS:**

The Board of Directors of Barclays Bank of Kenya Limited have resolved to declare an interim dividend for the year 2015 of Shs 0.20 per ordinary share of the Company to be paid on or about Friday, October 9, 2015 to shareholders registered at close of business on Friday, September 4, 2015.

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.barclays.co.ke.

They may also be accessed at the institution's head office at The West End Building, Waiyaki Way.

They were approved by the Board on August 13, 2015 and signed on its behalf by:

Chairman
Francis Okomo-Okello

Managing Director
Jeremy Awori


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